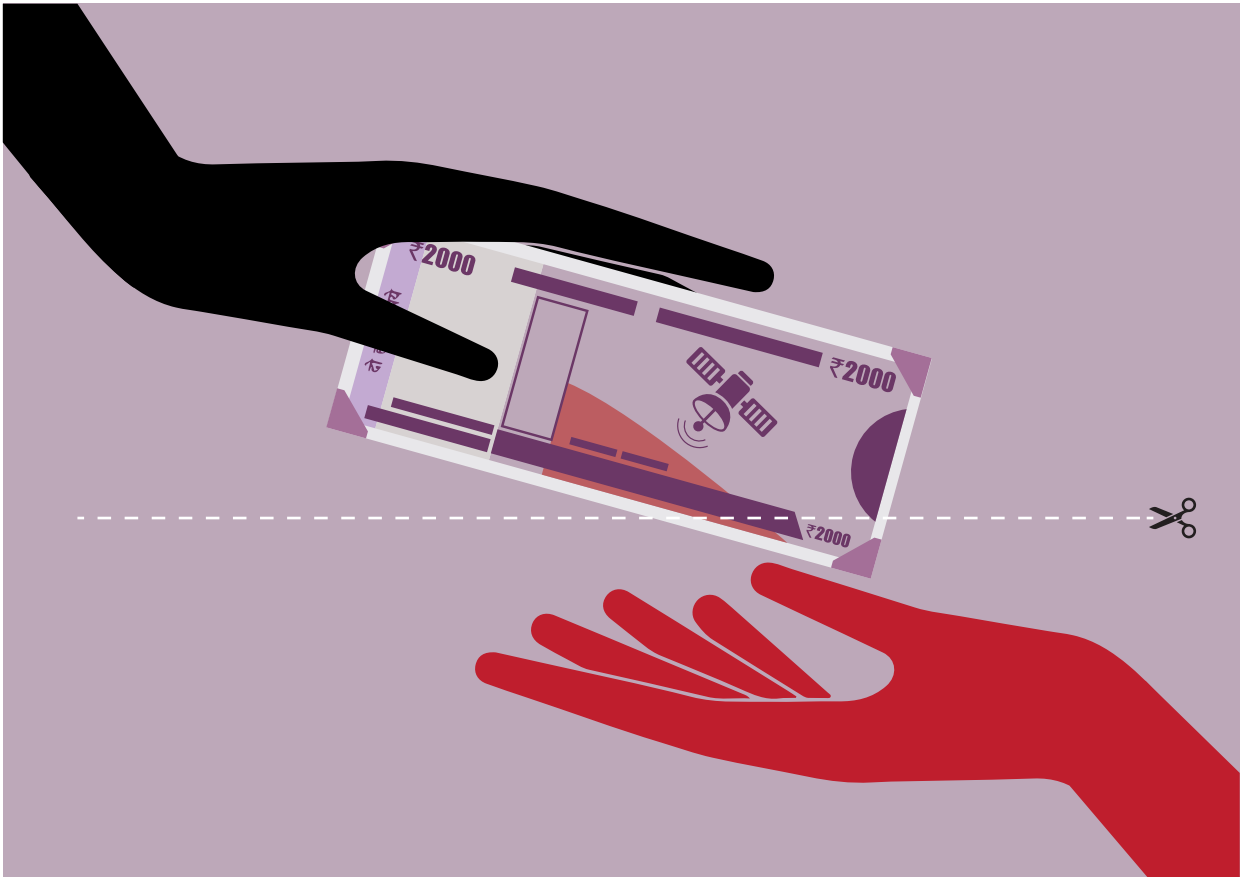




of a loan in the instrument will be constituted as “other income”. While it is understandable that not taxing these amounts could result in double non-taxation, taxing these amounts as other income could have a very serious impact on the industry. It would be in the fitness of things if these amounts were taxed as capital gains.

With a view to easing the cash crunch being faced by the MSME sector, it has been proposed that the expenditure incurred by clients of MSMEs be tax-deductible when the amounts are actually paid. While this proposal is welcome, we need to be cognizant of the fact that all transactions with MSMEs will now need to be tracked to determine tax deductibility.

There are two overarching themes that emerge from the tax

There is a massive thrust in the Budget on capital spends, which are up by more than a third over the preceding fiscal

proposals in this year’s Budget. First, the government would like to do away with smart tax-planning avenues such as those to escape capital gains tax or arguing that taxability of perquisites of a business or profession has to be only of non-cash items. Second, the government would like to tax transactions for their true character and not the ostensible form, such as taxing interest on market-linked debentures or taxing high-premium insurance policies that are essentially savings instruments. We should not lose sight of these two emerging trends.

All in all, this is a very welcome Budget that should continue to spur growth and help us realise the GDP growth projections. **BT**

The writer is CEO of Dhruva Advisors LLP. Views are personal